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KSE-100 V	S&P 500 V	US 10Y / 2Y V	BRENT / WTI V	GOLD V	USD/PKR V
175,548 ▼ 0.28% Thu · −495 pts	**▲ 1.7%** Nasdaq +2.8% · Dow +1.2%	**4.70 / 4.22** ▲ ~2bp · hawkish hold	**$90.5 / $84.6** steady · Mideast watch	**$4,075** firm · silver $58.20	**278.25** interbank · rupee soft

01 Five Things You Need To Know To Start Your Day

PSX CLOSES THE WEEK SOFTER On the last full session before month-end, the **KSE-100 eased 495 points (−0.28%) to close at 175,548** in a volatile, cautious tape, giving back part of the prior week's relief rally as investors stayed defensive on lingering Middle-East uncertainty (Express Tribune, Mettis Global). Oil & gas, cement and investment banks led the drag; fertiliser and commercial banks cushioned. **[V]** Sentiment: **cautious, range-bound**.

WALL STREET ROARS BACK The overnight tape flipped decisively positive: the **Nasdaq surged ~2.8%**, the **S&P 500 rose ~1.7%** and the **Dow added ~1.2%**, powered by **Microsoft +16% — a record ~$450bn one-day value gain** — as blockbuster tech earnings rescued sentiment after Wednesday's post-Fed slump (Yahoo Finance, TheStreet). **[V]** Sentiment: **risk-on, earnings-led**.

THE FED'S HAWKISH HOLD The FOMC **held the funds rate at 3.50–3.75%** on Wednesday, but the message leaned hawkish — **three members dissented in favour of a hike** — pushing the **10-year yield up to ~4.70%** and the 2-year near 4.22% (Federal Reserve, CNBC). A firmer-for-longer US rate keeps the dollar bid and caps EM-currency room. **[V]** Sentiment: **hawkish tilt**.

OIL STEADY, METALS FIRM Crude held its range with **Brent ~$90.5** and **WTI ~$84.6** as the market weighed lingering Gulf tensions against ample supply (Forbes). Precious metals stayed bid post-Fed: **gold near $4,075** (having crested $4,100 intraday) and **silver $58.20 (+1.7%)** (Yahoo Finance). **[V]** Sentiment: **steady, hedges bid**.

RUPEE & RATES THE LOCAL ANCHOR The **rupee eased marginally to ~278.25 interbank** against the dollar as the greenback firmed on the hawkish Fed (HamariWeb). The **SBP policy rate stays at 11.50%** with **June CPI at 11.1%** and reserves near $17.2bn — the stable backdrop that keeps local valuations anchored into August. **[V]** Sentiment: **stable footing**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Macro headwinds / tailwinds: Pakistan closes July on a cautious note — the **KSE-100 slipped 0.28% to 175,548**, capping a soft week that unwound part of the prior Monday's +3.89% relief surge **[V]**. The pullback is more digestion than deterioration: trade was volatile and defensive, with oil & gas, cement and investment banks the laggards and fertiliser and commercial banks lending support. The macro anchors remain constructive — the **SBP policy rate is held at 11.50%**, **June CPI eased to 11.1%** (from 11.7% in May), and reserves near $17.2bn after completed IMF EFF/RSF reviews give the external account visibility. The swing factor is external: a firmer US dollar on the hawkish Fed nudged the **rupee to ~278.25**, and steady-to-firm oil keeps the imported-inflation channel in focus. With rates anchored and earnings season underway, the market is consolidating rather than trending.

- **PSX falls 495 points as Mideast tensions overshadow** — the KSE-100 closed at 175,548 (−0.28%) in choppy trade; volumes stayed subdued with PIBTL, CNERGY and KEL the activity leaders.
- **PSX Closing Bell: Bears edge it** — oil & gas, cement and investment banks dragged, while fertiliser and commercial banks cushioned the index into the close.
- **SBP holds policy rate at 11.50%** — the second consecutive pause; the MPC cites an improving macro outlook with CPI easing toward the 5–7% target band by mid-2027.

B. GCC & Middle East

A diversification story running through a softer oil year. The Gulf's structural pivot remains firmly on track even as 2026 marks an oil-output down-year: forecasters see **GCC crude production falling ~14.5% in 2026** — a rare, deep cut on OPEC+ discipline — before a sharp 2027 rebound, with **Brent averaging ~$90 [V]** (Gulf News). The non-oil engine offsets it: **Saudi GDP is seen +4.3% and the UAE +5.6% in 2026**, with GCC non-energy activity expanding ~4.1% on strong labour markets, credit and AI-infrastructure investment (Zawya / ICAEW). **PIF is credited with roughly a third of cumulative non-oil GDP growth** since Vision 2030 launched, anchoring NEOM, Red Sea, Diriyah and New Murabba. For Pakistani corporates and Gulf-focused sponsors, the non-oil deal pipeline keeps widening.

- **GCC oil output to fall ~14.5% in 2026, rebound in 2027** — a sharp production dip trims the fiscal windfall but keeps budgets broadly funded near $90 Brent.
- **Saudi Arabia and UAE to drive Gulf growth in 2026** — ICAEW flags resilient non-oil PMIs and diversification as the twin engines carrying regional GDP.

C. Global Intelligence

Wall Street & global hubs: Thursday was a powerful, earnings-led rebound that erased Wednesday's post-Fed slump. The **Nasdaq soared ~2.8%**, the **S&P 500 climbed ~1.7%** and the **Dow rose ~1.2%**, driven by **Microsoft's 16% surge and record ~$450bn one-day value gain** after a blowout cloud-and-AI quarter **[V]** (Washington Post/AP). But the rate backdrop turned less friendly: the **Fed's hawkish hold at 3.50–3.75%** — with **three dissents for a hike** — lifted the **10-year to ~4.70%** and kept the dollar bid (CNBC). Precious metals held their bid — **gold ~$4,075, silver $58.20** — as investors hedged a firmer-for-longer Fed. The set-up into August: strong mega-cap earnings versus a central bank in no hurry to cut, a tension that keeps rate-sensitive and EM assets on a tighter leash.

- **Nasdaq soars ~3% as Microsoft posts record one-day value gain** — blockbuster tech earnings rescued sentiment a day after the hawkish-hold selloff.

- **FOMC holds at 3.50–3.75% with three dissents for a hike** — the hawkish tone lifted yields and the dollar, tightening the screw on rate-cut hopes and EM currencies.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	**SBP holds policy rate at 11.50%** — a second consecutive pause; the MPC balances sticky-but-easing CPI (11.1% in June) against an improving external account and completed IMF reviews.	Banks, Equities, Leveraged Borrowers, Autos, Cements	**Wins:** equities and rate-sensitive cyclicals that gain from policy stability; banks keep NIM visibility. **Loses:** savers and anyone positioned for near-term cuts — easing stays deferred while inflation runs near double digits. The hold is priced; the patient, data-led tone underwrites the market's consolidation, not a re-rating.
GCC — Regional	**OPEC+ output restraint & Vision-2030 non-oil pivot** — GCC crude output set to fall ~14.5% in 2026, with fiscal weight shifting decisively to non-oil sectors and PIF-led mega-projects.	Energy, Non-oil Private Sector, Construction, Tech, Sovereign Funds	**Wins:** diversification and digital plays, construction tied to NEOM–Red Sea–Diriyah, and PIF portfolio companies; price bulls if Brent holds ~$90. **Loses:** volume-linked oil revenue as production is throttled. For Gulf-focused sponsors and Pakistani corporates, the non-oil pipeline keeps widening.
Global — United States	**FOMC holds at 3.50–3.75% with three hawkish dissents** — the Committee keeps rates on hold but signals firmer-for-longer, with a minority pressing for a hike.	Bonds, USD, Emerging Markets, Rate-sensitive Equities	**Wins:** the US dollar and savers; short-duration credit. **Loses:** rate-cut hopefuls, long-duration bonds, and EM currencies — the rupee among them — as a firmer dollar and ~4.70% 10-year tighten global financial conditions into August.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.	PIVOT EST.	RESISTANCE EST.
174,000	**175,548**	**177,000**
first floor; deeper support at the 173,000 gap zone	Thursday's close — reclaiming it keeps the range intact	near-term cap; then the 177,700 recent high

Desk stance — neutral-to-constructive; a consolidation into month-end, not a reversal. After a volatile week that gave back part of the big relief rally, the local tape is **range-bound near 175,500** as it digests earnings and a firmer external rate picture **[V]**. The offsetting forces are clear: a supportive overnight tape (Wall Street's ~2.8% Nasdaq rebound on blockbuster tech earnings) and a stable local macro (SBP at 11.50%, CPI easing to 11.1%) versus a **hawkish Fed** that lifted the dollar and the 10-year to ~4.70%, nudging the rupee to ~278.25. Oil steady near $90 is neither tailwind nor headwind. Positioning: banks offer the cleanest earnings visibility under a stable rate; fertiliser and defensives screen well while cyclicals consolidate; keep leverage modest and watch Middle-East headlines and month-end flows. The rupee near 278 remains the quiet anchor. **All levels are indicative desk estimates, not recommendations.**